

Data Classification Gap Analysis: Netflix's Alignment with DPDP Act, GDPR, and CCPA

1. Executive Summary

In the digital economy, organizations collect and process vast amounts of personal information across multiple jurisdictions with differing privacy obligations. A robust data classification framework enables organizations to identify the sensitivity of data, apply appropriate controls, and demonstrate compliance with privacy regulations.

This report assesses Netflix's hypothetical current data classification practices against the requirements of India's Digital Personal Data Protection Act (DPDP Act), the European Union's General Data Protection Regulation (GDPR), and the California Consumer Privacy Act (CCPA).

The analysis identifies gaps in how various categories of personal information are classified, governed, and protected. Key gaps include insufficient differentiation of sensitive data categories, inconsistent retention classification, inadequate transparency regarding behavioral profiling, and fragmented cross-border data governance.

A prioritized remediation roadmap is proposed based on implementation effort, business impact, regulatory risk, and resource requirements.

2. Organization Overview

2.1 About Netflix

Netflix is a global subscription-based streaming service operating in more than 190 countries. The company processes personal data from millions of subscribers, including account details, payment information, viewing history, content preferences, device identifiers, and customer support records.

Its global presence requires compliance with multiple privacy regimes, particularly:

- **DPDP Act (India):** Governs digital personal data processing and establishes obligations for Data Fiduciaries.

- **GDPR (European Union):** Provides comprehensive protections for personal data and imposes accountability requirements on Data Controllers and Processors.
 - **CCPA (California, USA):** Provides consumer rights related to collection, use, sharing, and sale of personal information.
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3. Current State Data Classification Framework (Assumed)

For this analysis, Netflix’s existing data classification model is assumed to consist of four categories:

Classification	Description
Public	Information intended for public disclosure
Internal	Business information accessible only to employees
Confidential	Personal and commercially sensitive information
Restricted	Highly sensitive information requiring enhanced protection

While this model provides a baseline for security controls, it may not fully align with privacy-focused regulatory classifications. Regulations consider not only confidentiality but also the purpose of processing, consumer rights, profiling risks, data retention, and cross-border transfers.

4. Regulatory Data Classification Requirements

4.1 DPDP Act (Digital Personal Data Protection)

The DPDP Act classifies digital personal data and emphasizes lawful processing, consent, purpose limitation, data minimization, accuracy, and deletion after the purpose has been fulfilled.

Certain organizations designated as Significant Data Fiduciaries have additional obligations such as data protection impact assessments, audits, and appointment of Data Protection Officers.

4.2 GDPR (General Data Protection Regulation)

GDPR recognizes personal data as any information relating to an identifiable individual. It establishes special categories of personal data, including health information, biometric data, political opinions, religious beliefs, and similar sensitive information requiring additional protections.

GDPR also places strong emphasis on:

- Transparency
- Data subject rights
- Automated decision-making and profiling
- Storage limitation
- Cross-border transfer safeguards

4.3 CCPA

CCPA defines personal information broadly, including identifiers, internet activity, geolocation, commercial information, and inferences created from consumer behavior.

It focuses on:

- Consumer disclosure rights
- Access and deletion rights
- Right to opt out of sale or sharing of personal information
- Protection of sensitive personal information

5. Data Classification Gap Analysis

Data Category	Current Classification	DPDP Requirement	GDPR Requirement	CCPA Requirement	Identified Gap
Name, email, phone number	Confidential	Personal data requiring consent and purpose limitation	Personal data with lawful processing basis	Personal information requiring disclosure	Low gap: Existing classification largely sufficient

Payment details	Restricted	Strong security safeguards	Personal data requiring security measures	Sensitive financial information	Medium gap: Need explicit retention and deletion rules
Viewing history	Confidential	Consent and purpose-specific processing	Profiling and behavioral analysis obligations	Internet activity data requiring disclosure	High gap: Profiling classification and transparency need improvement
Content recommendations and preference profiles	Internal/Confidential	Purpose limitation	Automated profiling considerations	Consumer right to know about inferences	High gap: Inferred data not separately classified
Device IDs, IP addresses, cookies	Internal	Personal data when linked to individuals	Online identifiers considered personal data	Covered as identifiers	Medium gap: Technical metadata often undervalued
Customer support chats	Confidential	Personal data with retention limitations	Personal data; may contain sensitive information	Personal information requiring consumer rights support	Medium gap: Lack of sensitivity assessment
Account deletion records	Internal	Required only as necessary for compliance	Storage limitation principle applies	Deletion rights must be honored	Medium gap: Retention schedules need documentation

6. Key Compliance Gaps

Gap 1: Lack of Privacy-Centric Data Classification

Netflix's assumed model prioritizes confidentiality rather than regulatory sensitivity. For example, viewing behavior may not appear highly confidential from a cybersecurity perspective but can reveal personal preferences and behavioral patterns requiring additional privacy controls.

Risk Level: High

Gap 2: Inadequate Classification of Inferred Data

Recommendation algorithms generate user profiles based on viewing history and interactions. Under GDPR and CCPA, such inferences are regulated and require greater transparency.

Risk Level: High

Gap 3: Weak Data Lifecycle Classification

A security-based classification framework may fail to specify:

- Collection purpose
- Retention period
- Deletion trigger
- Legal basis for processing

Risk Level: High

Gap 4: Insufficient Cross-Border Data Governance

Netflix operates globally and transfers data between jurisdictions. Different regulations impose different transfer requirements and obligations.

Risk Level: Medium to High

Gap 5: Limited Sensitivity Assessment for Unstructured Data

Customer support communications can unintentionally contain health information, financial concerns, or other sensitive details.

Risk Level: Medium

7. Target State Data Classification Model

A more mature privacy-focused classification framework should include:

Classification	Examples	Required Controls
Public Data	Marketing materials	Basic integrity controls
Business Internal Data	Operational documents	Access restrictions
Personal Data	Account details, device identifiers	Consent tracking, retention controls
Sensitive Personal Data	Payment information, potentially sensitive support information	Encryption, limited access, monitoring
Profiling & Inferred Data	Viewing preferences, recommendation profiles	Transparency notices, user controls, impact assessments
Regulated Cross-Border Data	Data transferred internationally	Transfer assessments and contractual safeguards

8. Prioritized Action Plan

Priority	Action	Regulatory Impact	Effort	Estimated Resources	Timeline
1	Create a regulatory data classification taxonomy including inferred and behavioral data	High	Medium	Privacy team, legal counsel, data architects	2–3 months
2	Establish data retention and deletion schedules for each data category	High	High	Privacy team, engineering, records management	3–6 months
3	Implement data inventory and automated data discovery tools	High	High	Data governance team, security engineers	6–12 months
4	Enhance transparency around profiling and recommendations	High	Medium	Product, legal, privacy teams	2–4 months
5	Strengthen cross-border transfer governance and documentation	Medium	Medium	Legal, compliance, security teams	3–6 months
6	Review customer support data for hidden sensitive information	Medium	Low	Customer operations, privacy team	1–2 months

9. Estimated Resource Requirements

A successful remediation program would require a cross-functional privacy governance team:

Role	Responsibility	Estimated Involvement
Chief Data Protection Officer	Overall governance and regulatory alignment	Full-time
Privacy Counsel	Legal interpretation and compliance	30–50% allocation
Data Governance Lead	Data inventory and classification	Full-time during implementation
Security Engineers	Technical safeguards and monitoring	25–50% allocation
Product & Engineering Teams	System changes and consent controls	Project-based
Data Architects	Data mapping and classification design	30–50% allocation

The estimated implementation period for achieving maturity is approximately **12 months**, depending on the existing privacy infrastructure.

10. Conclusion

The comparison between Netflix’s assumed current classification framework and the requirements of DPDP Act, GDPR, and CCPA demonstrates that traditional security-based data classification is insufficient for modern privacy compliance.

The most significant gaps involve behavioral profiling, inferred personal information, data retention management, and cross-border governance. A modern classification framework must move beyond simple confidentiality levels and incorporate regulatory sensitivity, processing purpose, retention obligations, and individual rights.

By implementing a privacy-centric classification model supported by strong governance, automated data discovery, and clear accountability, Netflix can better meet the expectations of global privacy regulations and reduce regulatory and reputational risks.

